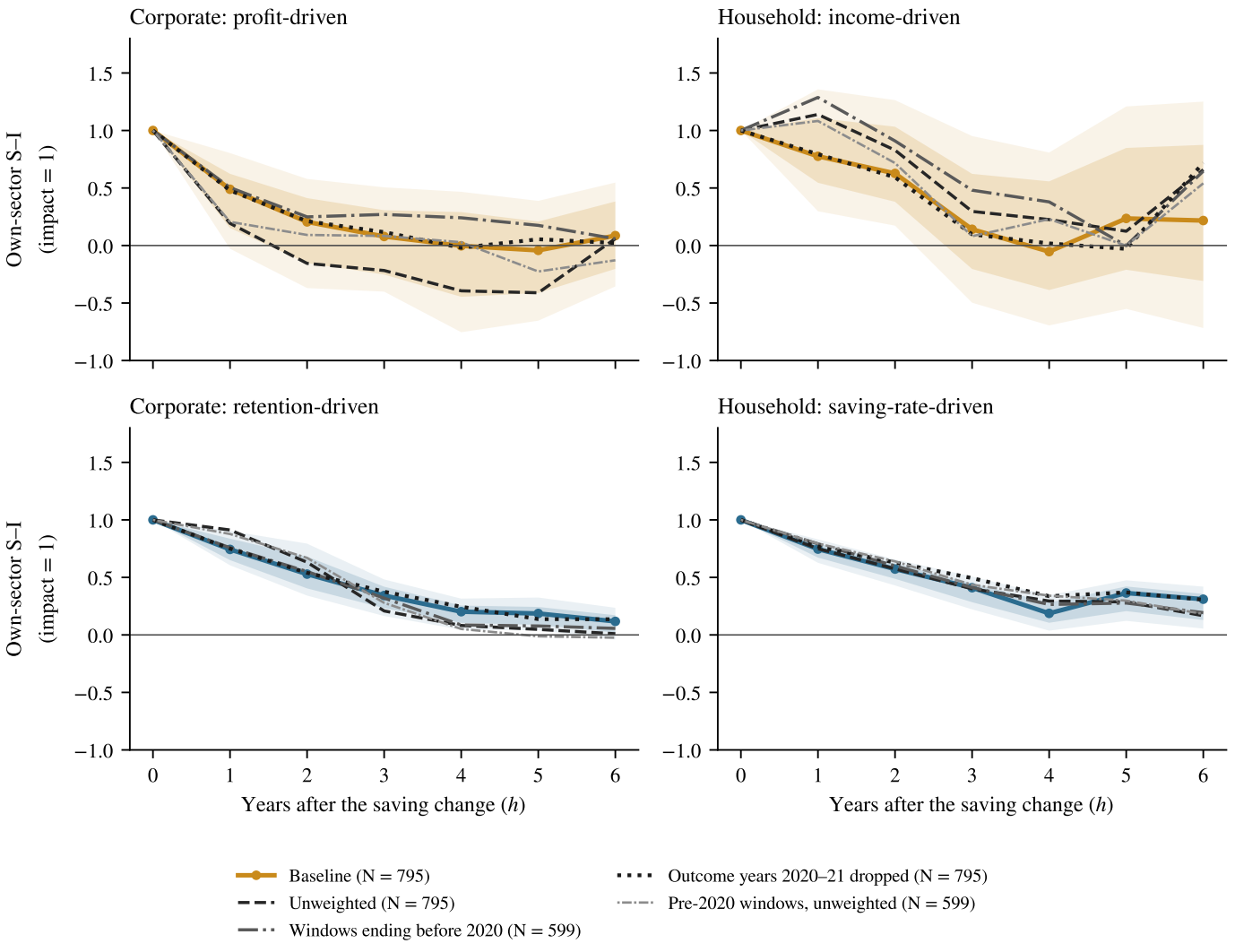
Weighting and the COVID-19 years



Notes: Baseline: own-sector balance in levels, the four components and GDP growth (two lags each), the own sector's two components at t, country and year fixed effects, two-step weighted least squares; shaded areas are its 68 and 90 percent country-cluster bootstrap bands (499 replications). Year fixed effects at t equal year effects at t+h for a given horizon, so the common COVID-19 shock is absorbed in every specification. 'Outcome years 2020–21 dropped' removes, at each horizon, start years whose outcome falls in 2020 or 2021.